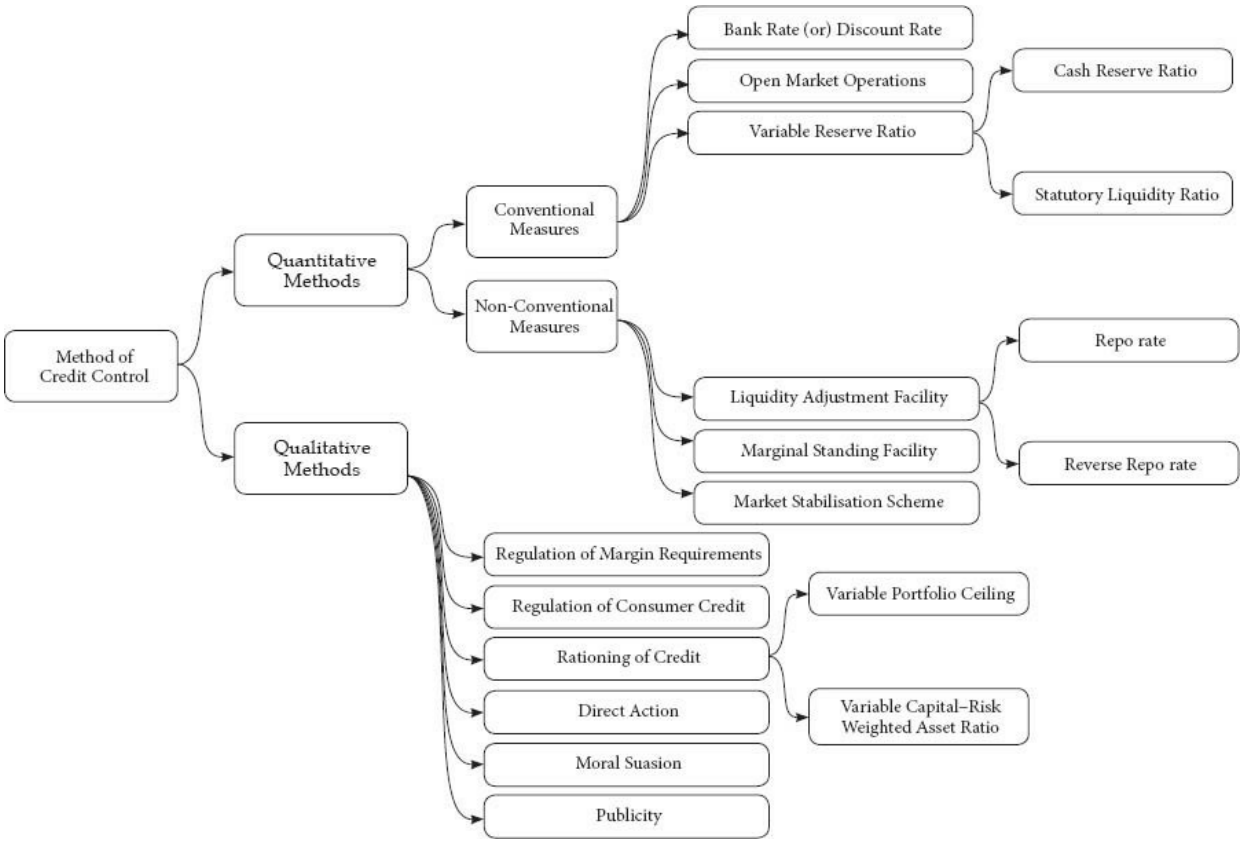


The financial system of India refers to the institutions of borrowing and lending of funds or demand for and the supply of funds of all individuals, institutions, and companies and of the Government[1]. The Indian financial system can be classified into two broad categories.

1. Money Market
2. Capital Market

Money Market

The Money Market is the market for borrowing and lending of short – term funds, say up to three years. The deposit and withdrawal of money also forms part of the money market. The commercial banks, regional rural banks, and bill markets together form the money market.

Capital Market